

The saga of Avis is a compelling example of the fact that too many so-called industrial companies have become financial companies—companies that *count* rather than *make*. (Witness the fact that the senior aide to the CEO is almost invariably the chief financial officer, often viewed by the investment community as the *éminence grise*.) Such companies, again quoting Kinsley's *New York Times* article, "base their strategies not on understanding the businesses they go into, but assume that by scavenging about for good deals, they can better allocate their financial resources than can existing financial markets."

You may remember the children's game in which rock breaks scissors, scissors cut paper, and paper covers rock. In manias, as I noted in my book *The Battle for the Soul of Capitalism*, when prices lose touch with values, paper indeed covers rock. "Paper" companies that *count* have acquired "rock" companies that *make*, and the results have been devastating. When I mention the mergers of America Online (AOL) and Time Warner, of Qwest Communications and U.S. West, and of WorldCom and MCI, I don't have to tell you which was paper and which was rock. These are among the most poignant examples of a phenomenon in which many aggressive corporate acquisitions of companies that were once the rocks of their industries have fallen on perilous times, with hundreds of thousands of loyal long-term employees both losing their jobs and seeing their retirement savings slashed unmercifully.

Giving Judgment a Chance

Lest I be accused of innumeracy, please be clear that I'm not saying that numbers don't matter. Measurement standards—*counting*, if you will—are essential to the communication of financial goals and achievements. I know that. But for going on four decades, I've been engaged in building an enterprise—and a financial institution at that—based far more on the sound implementation of a few commonsense investment ideas, an enlightened sense of human values and ethical standards, and the bond of trust between our firm